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BUSINESS • EARNINGS

TJX Profit Rises; Guidance Boosted

Earnings rose 7.1% as strong customer traffic drove sales growth

By Tess Stynes

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TJX Cos., the parent company of T.J. Maxx and other stores, reported quarterly results on Tuesday. ASSOCIATED PRESS

TJX **TJX 0.67% ▲** Cos., the parent of T.J. Maxx and other off-price retail stores, said its earnings rose 7.1% in the latest quarter as strong customer traffic continued to drive sales growth.

The Framingham, Mass., company's shares rose 3.1% to \$77.52 premarket as per-share earnings and revenue beat expectations and the company raised its annual guidance.

For its fiscal year ending in January, TJX raised its per-share earnings estimate to \$3.35 to \$3.42 on comparable-store sales growth of 2% to 3%; it had previously

forecast per-share profit of \$3.29 to \$3.38 and comparable-store sales growth of 1% to 2%.

For the current quarter, the company forecast per-share earnings of 77 cents to 79 cents, below analysts' expectations of 82 cents, according to Thomson Reuters.

TJX buys many of its goods through closeouts and sells them at discounted prices. This has helped the parent of T.J. Maxx, Marshalls and HomeGoods to continue to post earnings and sales growth as department stores and other retailers have been struggling.

For the period ended April 30, TJX reported a profit of \$508.3 million, or 76 cents a share, up from \$474.6 million, or 69 cents a share, a year earlier. The company had projected per-share profit of 68 cents to 70 cents.

Revenue increased 9.9% to \$7.54 billion. Analysts expected \$7.29 billion.

Gross margin rose to 28.8% from 28.3%.

TJX said sales at established stores rose 7% in the latest quarter, above expectations for growth of 2% to 3%.

Comparable-store sales rose 6% at Marshalls and T.J. Maxx and increased 9% at HomeGoods.

Corrections & Amplifications:

For the period ended April 30, TJX reported a profit of \$508.3 million. An earlier version of this article incorrectly stated the profit amount. (May 17)

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